the year 2000 in developed countries and 2004 in developing countries. The less developed countries are exempted from this obligation.

Domestic Support or Domestic Subsidies

This provision calls for reduction of domestic subsidies that result in lower price of exported products and distort free trade. These subsidies are called **Amber Box subsidies.**

Under this provision, the Aggregate Measurement of Support (AMS) is to be reduced by 20 per cent over a period of six years by developed countries and 13 per cent over a period of 10 years by developing countries over the base period of 1986-88.

Aggregate Measurement of Support stands for the total of product specific subsidies and non-product specific subsidies provided by a country in a year. Product specific subsidies are subsidies given to particular product.

For example, cotton, rice, etc. Non-product specific subsidies are subsidies given in general and not specific to any product, say fertiliser subsidies that benefit all agricultural products.

In the calculation of AMS, the subsidies are not included when the support is within the de-minimis[1] level. **De-minimis** level here refers to the minimum level prescribed by AoA. The de-minimis level for developed countries in case of product specific subsidies is 5 per cent of total value of that particular product produced in a year, for developing countries it is 10 per cent. For non-product specific subsidies, it is 5 per cent of total value of all agricultural products produced in that country in a year for developed countries and 10 per cent for developing countries.